

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

**RESPONDENT MEDITERRANEAN SHIPPING COMPANY S.A.'S MOTION
FOR AN EXTENSION OF TIME**

In the parties' August 15, 2022 Joint Status Report, Respondent MSC Mediterranean Shipping Company SA ("MSC") advised that its Swiss counsel had contacted the Federal Office of Justice in Bern to obtain what it believes will be confirmation that the July 1 ruling of the Geneva Court of First Instance was in error to conclude that this proceeding was not of the type to which the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "Hague Evidence Convention") applies. *See* Exhibit A (original) and Exhibit B (English translation). As MSC stated in the August 15 report, the Federal Office of Justice acts as the official center of legal expertise for mutual legal assistance matters in Switzerland, and the decision of a first instance judge in Geneva does not establish that the Hague Evidence Convention does not apply to this matter, or that that is the position of the Swiss authorities. As a result, it also does not establish that the consultation procedures of 46 U.S.C. § 41108(c)(2), which Complainant has acknowledged are mandatory, would be fruitless. Without advice from the Federal Office of Justice on this matter MSC believes it cannot proceed without breaching Swiss criminal law, given its conviction and that of its counsel that the July 1 ruling of the Geneva Court of First Instance is in error.

MSC committed to revert to Your Honor immediately upon receiving the requested advice from the Federal Office of Justice. MSC has attempted to obtain prompt advice from the Federal Office of Justice, and its Swiss counsel has been in regular contact with the International Mutual Legal Assistance Division of the Federal Office of Justice to stress the urgency of the matter, but a reply to MSC's request remains pending, we understand due to other workloads. A telephone contact on August 25, 2022, confirmed that the Federal Office of Justice is currently processing the request and expects to provide a response next week. MSC therefore respectfully requests an extension of its time for compliance with Your Honor's July 29, 2022 Order Requiring Production of Discovery (the "July 29 Order"), so that it can receive that advice and propose a path forward that allows it to provide discovery in compliance with Swiss criminal law.

MSC regrets that it is required to ask for further delay, but respectfully submits that the current situation places MSC in an impossible position. Absent an extension, Complainant has stated it will seek sanctions against MSC under the Commission's rules for failure to comply with Your Honor's July 29 Order. However, in the present circumstances, MSC cannot comply with that Order without risk of criminal exposure for violating Swiss law prohibiting the collection or production of evidence under direction of another sovereign governmental authority without authorization. This situation can be resolved if, as MSC's counsel believes will be the case, the Federal Office of Justice confirms that consultative procedures in compliance with Swiss law may be used. MSC's Swiss counsel believes that it will obtain clarification from the Federal Office of Justice in the near future, and that this will allow MSC to move forward.

MSC also respectfully submits that an extension of time to allow the parties and Your Honor to consider this advice will not be prejudicial. Complainant itself proposed in the parties' July 15 status report that the consultative procedures under 46 U.S.C. § 41108(c)(2) should be used

to address the matter, and has not suggested that any delay resulting from the use of those procedures would harm it as long as it is not forced to take depositions before documentary discovery is substantially completed. Both Complainant and MSC in fact requested in their July 15 joint status report that additional consultative procedures be undertaken with the Swiss government to address the July 1 ruling.

MSC also respectfully submits that confirming the position of the Swiss authorities is central to the underpinnings of the July 29 Order, and would thus provide important clarity in the proceeding. The July 29 Order was based on the ground that “the Swiss authorities, who are in the best position to determine whether their involvement is needed, have indicated that the requested discovery is outside the scope of the Hague Convention and that their intervention is not necessary.” Order, at 1. Later the Order states that “[m]ost critically, the Swiss authorities have reviewed the request and determined that it is outside the scope of the Hague Evidence Convention.” *Id.* at 3¹. MSC’s concern, as detailed in the July 15 joint status report and as repeated in its request for advice from the Federal Office of Justice, is that the opinion of the Geneva court is clear error. It is based on a misapprehension of Your Honor’s status and the nature of Commission proceedings, is inconsistent with established precedent under U.S. law, and, in the opinion of MSC’s Swiss counsel, is inconsistent with Swiss law and practice.

Moreover, as the view of a single judge in a court of first instance is not reflective of the view of the Swiss authorities in general, nor of the views of the Federal Office of Justice in Bern, the expert body on international mutual legal assistance issues that the initial request should have been sent to. Accordingly, MSC would have no assurance that the Court of First Instance’s holding

¹ Geneva is a canton of Switzerland, whereas the description “Swiss authorities” is more properly applied to the Federal departments, such as the Federal Office of Justice.

would be followed in a criminal proceeding as the official position of the Swiss authorities, particularly as it appears to be based on an erroneous understanding of the nature of this proceeding. MSC thus believes it would remain in significant jeopardy if it proceeded on the basis of that ruling alone.

The July 29 Order suggests, quoting a statement of MSC's Swiss counsel, that the risk of an Article 271 prosecution is limited only to "evidence that falls within the scope of international judicial assistance," and that there would be no such risk as to matters that fall outside that scope. Order at 3 (emphasis in original). MSC disagrees. It does not follow that because Article 271 applies to matters within the Hague Procedures it does not apply to matters outside them, and Swiss law is to the contrary. If the Swiss authority that acts as the official center of legal expertise for mutual legal assistance matters were to confirm at some later time that this matter does fall within the scope of international judicial assistance, MSC will have broken Swiss law. Obtaining confirmation on the point is thus necessary to protect MSC from criminal exposure based on the July 1 ruling it considers erroneous, and also will more authoritatively resolve the issue on which the July 29 Order is based.

As MSC's Swiss counsel has explained, it is not only the criminal nature of the sanctions attached to a failure to comply with a production order that is decisive in determining the admissibility of voluntary production under Swiss law, but the handing over of information and documents from Switzerland, which according to domestic law could only be disclosed by order of a Swiss authority, violates Art. 271 of the Swiss Criminal Code. Proceeding without use of the Hague Procedures, which MSC's Swiss counsel continue to believe are applicable, and has taken steps with the central authority to confirm that applicability, would expose MSC to a significant risk. MSC believes that risk can be resolved by allowing for the Federal Office of Justice in Bern

to address the matter. Such an approach would also be consistent with 46 U.S.C. § 41108(c)(2), which provides that consultative procedures be pursued in cases such as this one.

Again, MSC will revert to Your Honor immediately upon receiving the requested advice from the Federal Office of Justice, and consult with Complainant as to how best to move forward in accordance with that advice.

Respectfully submitted,

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Counsel for Respondent
MSC Mediterranean Shipping Company S.A.

Dated: August 25, 2022

CERTIFICATE OF SERVICE

I certify that, on August 25, 2022, a true and current copy of the foregoing Motion for Extension of Time was served via electronic mail on the following:

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